

**UNITED STATES OF AMERICA
BEFORE THE
FEDERAL ENERGY REGULATORY COMMISSION**

Interconnection of Large Loads to the	)	
Interstate Transmission System	)	
	)	Docket No. RM26-4-000
	)	

COMMENTS OF ENGIE NORTH AMERICA, INC.

(November 21, 2025)

Pursuant to the Federal Energy Regulatory Commission’s (“Commission”) Notice Inviting Comments on the Department of Energy’s (“DOE”) proposed advance notice of proposed rulemaking¹ (“Proposed ANOPR”) issued on October 27, 2025² (“Notice Inviting Comments”) and the Order on Notice on Requests for Extension of Time issued on November 7, 2025, in the above captioned proceeding, ENGIE North America, Inc.³ (“ENGIE”) appreciates the opportunity to provide Initial Comments on the Proposed ANOPR. ENGIE understands the urgency driving the need for further adjustments to the interconnection process to overcome the challenges and capture the opportunities presented by large loads and hybrid facilities interconnection. ENGIE supports the DOE’s and the Commission’s initiative. Given our first-hand experience providing energy to and developing energy projects with large load customers across the country, ENGIE is pleased to share our perspective on how the Commission can

¹ Interconnection of Large Loads to the Interstate Transmission System, Notice Inviting Comments, Docket No. RM26-4 (Oct. 27, 2025) (“Proposed ANOPR”).

² Notice Inviting Comments, Docket No. RM26-4 (Oct. 27, 2025).

³ ENGIE is a subsidiary of ENGIE SA, a global energy company and a leader in low-carbon energy systems with a mission to accelerate the transition towards a carbon-neutral world. Globally, ENGIE owns and operates over 110 GW of power generation, including 40 GW of renewable generation, the largest natural gas distribution network in Europe, 2,485 miles of transmission lines, and is a leading energy supplier to commercial and industrial customers. In the United States, where ENGIE has been engaged for decades, we own and operate over eleven GW of renewable generation and battery energy storage systems (“BESS”) and have several major partnerships with universities and medical campuses to manage their energy usage and decarbonization efforts.

facilitate the efficient, timely, and non-discriminatory interconnection of large loads and hybrid facilities.

I. INTRODUCTION

Data centers are the infrastructure enabling the rapid advances in artificial intelligence (“AI”) underpinning the next industrial revolution. Current and expected future growth of the data center sector is unprecedented. As the Administration has recognized, the strategic importance of data centers cannot be overstated. The urgency to adapt the economy in order to leverage the commercial and security advantages of AI to secure our infrastructure and to preserve the nation’s technological leadership cannot be overstated.

Regrettably, access to electricity has become a critical bottleneck for data centers, and other large load customers. The availability of power infrastructure has not kept pace with the drive to build data centers. Data centers can often be built and commissioned more rapidly than power generation assets, often because the latter are stalled in long interconnection queues.

DOE Secretary Wright’s October 27, 2025, letter to the Commission recognized that AI infrastructure must be able to interconnect to the grid efficiently, fairly, and expeditiously.⁴ ENGIE supports the Proposed ANOPR’s emphasis on the long-standing principles of open access transmission service and recognizes the Commission’s efforts to reinforce the foundational principle.⁵

ENGIE’s comments emphasize the need for a flexible, technology agnostic approach to large load interconnection that recognizes the reliability, economic and efficiency benefits of co-locating generation and/or storage. ENGIE looks forward to continuing to work with the

⁴ Letter from Chris Wright, Sec’y of Energy, U.S. Dep’t of Energy, to the Fed. Energy Regul. Comm’n (Oct. 23, 2025).

⁵ Proposed ANOPR, *supra* note 1, at 3-5.

Commission, DOE, the Regional Transmission Organizations (“RTO”) and the Independent System Operators (“ISO”), the state authorities, and all stakeholders to develop and implement fair, practical and durable solutions.

II. ENGIE LARGE LOAD AND HYBRID FACILITY INTERCONNECTION PRIORITIES

ENGIE’s comments on the principles listed in the Proposed ANOPR are based on the following set of priorities ENGIE believes is necessary to rapidly integrate large loads and hybrid facilities into the bulk power system.

a. Flexibility in implementation is paramount.

ENGIE supports the Commission’s and the DOE’s efforts to provide nationwide standardization and uniformity of interconnection procedures for large loads. The Commission could consider drafting a *pro forma* co-located interconnection services agreement to provide consistent procedural guidance. ENGIE emphasizes, however, that retaining flexibility is paramount. It will be essential that any new requirements take into account, and at times defer to regional differences and regional knowledge of system conditions. Flexibility is also needed to accommodate different types of co-location agreements. Robust regional stakeholder processes should be required and given adequate time to conclude prior to final compliance filings.

b. Encourage large loads to co-locate with local generation and/or storage.

Co-locating large loads with generation and/or storage should be emphasized as the primary solution to impacts caused by large loads interconnecting to the bulk electric system.

c. Allow netting of co-located resources.

Allowing large loads and co-located generation to net meter is the most efficient way to interconnect large loads. Netting of load and generation reduces the need for unnecessary system upgrades and associated costs, and decreases the need for subsidies which reduces ratepayer

costs. Netting supports a market-based approach that encourages private investment in new generation that incentivizes loads to co-locate at the most curtailed and congested points on the grid.

d. Rules governing co-located generation should be technology agnostic.

New large loads should be able to select the type of accompanying generation or storage as well as the location of the facility.

e. Make expedited interconnection available for co-located large loads with local generation and/or storage.

Expedited interconnection, and separate interconnection queues should be permitted for large loads that bring their own generation or storage and that agree to be curtailable or dispatchable.

III. ENGIE COMMENTS ON PROPOSED PRINCIPLES FOR LARGE LOAD INTERCONNECTION.

a. Principle Two: Setting a megawatt threshold for facilities eligible to benefit from the reforms is reasonable but consideration should be given to regions based on system conditions.

The Proposed ANOPR is seeking comments on the size of new loads to which reforms should apply. Specifically, the Commission is seeking comments on whether the reforms should apply to new loads greater than 20 MW and for hybrid facilities, where the load is greater than 20 MW.⁶ ENGIE appreciates the Commission's desire to standardize the interconnection process by selecting a megawatt threshold that may apply to all regions across the country. ENGIE agrees that large loads may have a more pronounced effect on grid stability, transmission planning, and resource adequacy and that focusing reforms on these loads ensures that the most impactful projects are studied and integrated with appropriate rigor.

⁶ Ibid. at 11.

While ENGIE does not take a strong view on whether 20 MW is the appropriate threshold, we suggest that the 20 MW threshold may be too low for the types of large loads that typically drive new transmission needs. Many of the large loads that require specific solutions or that are having a significant impact on the reliability of the bulk energy system require capacity in the hundreds of megawatts. As a result, it is possible that a 20 MW threshold would capture mid-size or commercial facilities that do not pose system risk. Doing so could increase the regulatory burden for these facilities and pose an undue burden on grid operators and transmission providers in the interconnection review and study process. Also, at this level concerns over federal regulatory overreach into state jurisdiction become more credible.

Further, ENGIE recommends that the Commission consider regional system differences if implementing a specific megawatt threshold. ENGIE's experience is that the ability of the transmission system to integrate large loads is largely a system reliability question which is based heavily on the specific characteristics of the network and location where a large load or hybrid facility is looking to interconnect. Therefore, ENGIE recommends that the Commission allow for flexibility in implementation of a given megawatt threshold by deferring to the regions in setting a reasonable threshold. The Commission should require that ISOs and RTOs conduct a transparent stakeholder process to determine an appropriate threshold while relying on relevant system and queue data.

b. Principle Three: Load and hybrid facilities should be studied together with generating facilities.

The Commission proposes that load and hybrid facilities should be studied together with generating facilities to the extent practicable.⁷ ENGIE strongly supports this principle. We

⁷ Ibid. at 11.

believe that a more holistic approach to system planning, including the studying of all types of facilities together, provides a more complete picture of how new facilities will interact with the electric grid. Studying facilities together will also improve accuracy in identifying system impacts and upgrade needs. Combining studies can reduce duplication, streamline timelines, and lower administrative burdens for both developers and grid operators. Importantly, hybrid facilities often have complex operational profiles. Studying them alongside generation allows planners to account for net load, ramping capabilities and flexibility contributions.

Further, studying load and hybrid facilities along with generation that the load brings to the electric grid may also increase the speed of interconnection of the load by decreasing the number of megawatts the load requires to draw from the grid to operate its facility. For example, a 1 GW load with a 500 MW generating facility may only need to draw 500 MW of power from the grid. As a result, the interconnecting load will have a smaller impact on the grid and is likely to require fewer and less expensive system upgrades to interconnect.

ENGIE would like to highlight the Southwest Power Pool's ("SPP") soon to be implemented Coordinated Planning Process ("CPP") for being the most robust, holistic planning process of any ISO/RTO. Once implemented it is expected to cut administrative costs by reducing redundant studies, combining processes, and reducing generator interconnection study timelines. CPP will also pre-identify grid needs before interconnection requests are submitted and integrates future grid evolution, resource expansion, and reliability planning into one framework.

ENGIE recognizes that studying load and generation together is not how grid planners have historically approached grid planning. Joint studies may add increased complexity to the interconnection process, at least initially. This approach is likely to require more sophisticated

modeling and data inputs as well as increased ISO/RTO resources. Existing rules may not fully support integrated studies. Updates to tariffs, modeling tools and stakeholder processes may be necessary. However, moving towards holistic planning will bring long-term gains to the interconnection process, and lead to a more cost-efficient bulk power system for ratepayers, through increased efficiency, accuracy and certainty that are essential for modernizing and strengthening the system.

c. Principle Four: Load and hybrid facilities should be subject to standardized study deposits, readiness requirements, and withdrawal penalties.

The Proposed ANOPR requests information related to commitments or financial penalties that load and hybrid facilities should bear in the interconnection process. ENGIE supports assigning load and hybrid facilities financial and other responsibilities to ensure transparency, fairness and efficiency in the interconnection process. ENGIE also supports transparency and accountability in the interconnection process by requiring transmission providers to publish tariffs with clear and well understood timelines for deposit requirements. Tariffs should also include provisions that clearly state interconnection study timelines and study length as well as require that transmission providers complete the studies within the expected timeframe.

Financial requirements, including deposits of \$5,000-\$10,000 per megawatt of load are reasonable as are penalties for facilities that exit interconnection studies. Interconnection deposits should be used to contribute towards construction costs. ENGIE encourages the Commission to also consider reasonable readiness requirements, similar to generator interconnection reforms, including site control documentation and evidence of financial viability, such as load service agreements or offtake agreements.

d. Principle Five: Hybrid facilities should be studied based on the amount of injection and/or withdrawal rights requested.

The Proposed ANOPR requests comments on whether hybrid facilities should be studied based on their requested level of injection or withdrawal rights. ENGIE strongly supports this proposal for several reasons. First, focusing on the requested injection and withdrawal level will increase the accuracy of the interconnection process by aligning interconnection studies with the facility's actual impact on the grid. This approach will also increase efficiency in study scope as it avoids overstudying facilities whose load will be offset by co-located generation and/or storage. This reduces unnecessary modeling and helps to accelerate study timelines.

Third, studying the requested withdrawal and injection rates of a hybrid facility also encourages generation and load to partner to solve for least impact on the grid in order to capture the benefits of a more accurate and efficient interconnection and study process. Fourth, it may speed up the interconnection process as hybrid facilities' interconnection requests are likely to be smaller by megawatts and require fewer and less costly infrastructure upgrades to interconnect.

Further, during the study process hybrid facilities should also be given the choice to ramp down their injection or withdrawal in the peak demand modelling scenarios. These facilities can tailor their operations to account for grid limitations which benefits the system and may also avoid costly and lengthy grid upgrades which supports a more rapid interconnection of load and generation.

Finally, the technology necessary to prevent flows to the grid is being deployed in facilities across the country. Technology should not be a limitation to studying and developing hybrid facilities based on their requested withdrawal and injection rights.

e. Principle Six: Hybrid interconnection applicants can and should install system protection facilities to prevent unauthorized injection or withdrawals to the grid.

The Proposed ANOPR suggests that hybrid interconnection applicants should be responsible for installing system protection facilities necessary to prevent unauthorized injections or withdrawals that exceed the respective rights.⁸ ENGIE agrees. Technology to prevent unauthorized flows exists and is currently in use. As long as injection and withdrawal rights are agreed upon between the facility and the transmission provider and are clearly delineated in the interconnection agreement, a hybrid facility will be able to satisfy the operational parameters. Also, hybrid facility owners should have the flexibility to install protection systems of their choice as long as they meet the requisite industry standards.

f. Principle Seven: The interconnection of large loads and hybrid facilities that agree to be curtailable and dispatchable should be expedited.

The Proposed ANOPR states that interconnection of large loads and hybrid facilities that agree to be curtailable and dispatchable through verifiable flexibility should be expedited.⁹ ENGIE supports the concept of expedited interconnection for these types of facilities where load brings its own generation and/or storage. ENGIE recommends that the Commission consider establishing a separate queue for this purpose.

While a large load that brings its own generation can reassure a transmission provider that it does not need to withdraw electricity from the grid at all times, the outstanding question is what level of flexibility is required in order to rationalize expediting a facility's interconnection request. The level of curtailment or dispatchability needed is location specific and depends on the robustness of the bulk energy system at that location. Consideration should be given to the

⁸ Ibid. at 12.

⁹ Ibid. at 12.

magnitude of the load that needs to be curtailed and the magnitude in the decrease in system impact that must be shown to be eligible for expedited treatment. In terms of generation, how many or what percentage of megawatts needs to be dispatchable for the generating facility to be eligible for expedited treatment.

ENGIE recommends that flexibility should be defined in terms of notice, percentage, duration and frequency. Consideration should be given to: how much advance warning a facility is given before the facility is required to change its output or operation mode; the proportion of the facility's capacity that must be adjustable; how long the facility must sustain the requested change; and the number of events per year. If these requirements are left unparameterized a project will struggle with commercial feasibility. It is next to impossible for a facility to plan around the requirements and there is almost no way to finance facilities that are exposed to these types of undefined risks.

ENGIE supports a standard flexibility approach within an ISO/RTO which will allow for a knowable and transparent design and encourage standardization across multiple hybrid sites. However, if the Commission standardizes curtailment and dispatchability requirements, ENGIE recommends that the Commission allow for regional differences amongst the various RTOs/ISOs and permit them to propose region-specific thresholds for curtailment and dispatchability when warranted.

g. Principle Eight: Load and hybrid facilities should be responsible for 100 percent of the network upgrades they are assigned through interconnection studies.

The Proposed ANOPR advances the principle that load and hybrid facilities should be responsible for 100 percent of the network upgrades that they are assigned through the

interconnection studies.¹⁰ ENGIE agrees that facilities should pay costs appropriately allocated to them during the interconnection study process. Costs assigned to the facilities should not be socialized to ratepayers or other market participants.

How interconnection costs are allocated, however, is a complex question that requires additional investigation. If the upgrade is needed due to a constraint caused by the proposed interconnecting facility and if the facility will receive a localized benefit, then the facility should pay for the network upgrade. However, if there are system benefits gained through upgrades paid by the facility, but the benefits also accrue to the system then the system should pay for those costs.

Finally, ENGIE does not believe that a crediting mechanism is necessary as large load and hybrid interconnection costs should be paid for by the facilities themselves. A credit mechanism may risk shifting costs onto ratepayers.

h. Principle Nine: Where the interconnection customer is not the transmission owner, it shall be afforded the same option to build as provided to generator interconnection customers.

The Proposed ANOPR requests comments on whether load should be given an option to build that is similar to an interconnecting generator's option to build. ENGIE supports an interconnection customer's option to build as it provides maximum flexibility in the development process.¹¹ In certain circumstances, exercising an option to build can be less costly and more expedient thus providing the ability to bring on large loads sooner. It may also lead to improved coordination opportunities between developers and load customers on shared infrastructure or joint planning and a better use of the transmission system.

¹⁰ Ibid. at 12.

¹¹ Ibid. at 13.

- i. Principle Ten: An existing generating facility that seeks to enter a partial suspension to serve a new load at the same location must go through a system support resource/reliability must run type of study looking out at least three years.**

The Proposed ANOPR requests comments on whether generating facilities seeking to enter a partial suspension to serve a new load be studied for resource adequacy purposes.¹²

ENGIE agrees that these facilities should be studied. All generating facilities that seek to partially suspend their operations, including for this reason, should be studied for the reliability and resource adequacy impact the suspension may pose to the grid. Any potential risk to the reliable operation of the bulk energy system should be studied to ensure there is no risk.

- j. Principle Eleven: Utilities serving large loads, including those at hybrid facilities, should be responsible for transmission service based on their withdrawal rights.**

The Proposed ANOPR posits that utilities serving large loads and hybrid facilities should be responsible for transmission service based on their withdrawal rights.¹³ ENGIE agrees with what appears to be the underlying goal of this principle, which is that large loads should pay for the services the plan for. Also, this principle reflects a reasonable standard assumption: that withdrawal rights should be based on the capacity agreement and not utilization. Basing transmission level service on the facility's withdrawal rights is beneficial for the bulk energy system for several reasons.

First, it increases cost transparency and fairness by aligning transmission service charges with expected usage and cost, ensuring that large loads pay proportionally for the capacity they reserve. This could be accomplished through a take or pay construct where a large load interconnection customer agrees to take a minimum quantity of service or pay a penalty or a

¹² Ibid. at 13.

¹³ Ibid. at 13.

predetermined fee if it does not. Second, it also encourages efficient load siting as large loads may be incentivized to locate near existing transmission capacity to minimize withdrawal-based costs. Third, it supports better grid planning by potentially dissuading large load developers from submitting speculatively large interconnection requests. This may lead to increased efficiency in the interconnection study process and improved planning accuracy.

k. Principle Twelve: Utilities serving large loads, including those at hybrid facilities, should be responsible for ancillary services based on peak demand, without consideration of any co-located generation. Any co-located generating facilities will similarly be fully compensated for the provision of ancillary services.

The Proposed ANOPR states that utilities serving large loads and hybrid facilities should be responsible for ancillary services based on peak demand without consideration of co-located generation.¹⁴ ENGIE finds this principle is problematic because it ignores the operational reality and fairness considerations of hybrid facilities. If facilities are charged based solely on peak demand, without netting co-located generation, it treats the site as if the generation does not exist. It also overstates the grid support needed as the on-site generation and/or energy storage reduces the facility's net impact on the system.

Further, ENGIE believes that allowing net metering of large loads and co-located generation is essential to increasing the rate of large load interconnection. Since hybrid facilities invest in co-located generation and/or storage to reduce grid reliance and improve resilience, not allowing the netting of the co-located generation and/or storage penalizes the facility and discourages investment in generation and/or storage. In terms of cost allocation, charging based on gross load shifts costs unfairly to customers who have already invested in mitigating their grid impact.

¹⁴ Ibid. at 12.

A better approach would be to allow hybrid facilities to net peak demand or coincident peak adjusted for onsite generation and/or storage.

The Proposed ANOPR also suggests that co-located generating facilities should be compensated for ancillary services they provide. ENGIE supports the Proposed ANOPR's position. As a matter of fairness, generators at hybrid facilities should earn full compensation for providing ancillary services like any other generator. In addition, this revenue stream will help to improve project economics and return on investment which may lead to a more rapid deployment of generation to support interconnecting large loads.

I. Principle Thirteen: A reasonable and transparent transition plan is essential to the orderly implementation of changes to accommodate large load and hybrid facility interconnection.

The Proposed ANOPR requests stakeholder comments on what are appropriate transition plans, including the for large load interconnections that are already being studied for interconnection.¹⁵ ENGIE appreciates the focus on the transition process and believes that fairness and efficiency should be the guiding principles throughout the transition.

ENGIE believes that creating a separate queue for hybrid facilities in the near term would facilitate the interconnection of large loads. Large loads that bring their own generation and/or storage are likely to have fewer and less costly needed upgrades, a lower impact on the bulk energy system, and a more rapid interconnection process because the net additional burden to the bulk energy system is likely to be less significant. These facilities should be able to interconnect more quickly. Ultimately, however, the interconnection study process should revert to a single process as parallel processes may not be efficient in the long run.

¹⁵ Ibid. at 13.

For large loads and generation and/or storage that are already in the interconnection study queue, in order to provide regulatory certainty to ensure project viability, it will be necessary for the facilities to retain their current queue position for some amount of time. A level of grandfathering of existing interconnection requests that are already in the study process would provide certainty for the developers. Also, existing interconnection customers should be permitted to opt into the new framework if it offers financial or operational advantages.

In terms of interconnection studies, ideally, large loads studied together with generation and transmission assets will benefit all entities as this will ensure the highest level of coordination.

ENGIE acknowledges that running two parallel queue systems could be challenging. Stakeholders will have to work collaboratively to come to an agreement on the framework. Stakeholder engagement and a post-implementation review process for disputes would increase transparency, buy-in and regulatory accountability during the transition.

m. Principle Fourteen: Utilities serving large loads must meet all applicable NERC reliability standards and OATT provisions.

The Proposed ANOPR seeks to confirm that utilities serving large loads must meet all of the applicable North American Electric Reliability Corporation (“NERC”) reliability standards and Open Access Transmission Tariff (“OATT”) provisions. ENGIE agrees. Such standards are essential for the reliable operation of the bulk power system. ENGIE sees no rationale for exempting utilities or their customers from adhering to the relevant standards.

IV. CONCLUSION

The United States is experiencing rapid industrial change at a scale not witnessed for many decades. The Commission has an opportunity to establish clear and reasonable rules that will support the efficient and reliable interconnection of new large loads and hybrid facilities.

ENGIE encourages the Commission to issue a final rule that prioritizes flexibility and coordination between load and generation and storage interconnections, and recognizes the importance and provides expedited treatment for co-located generation and storage. We respectfully request that the Commission accept our comments and recommendations regarding the Proposed ANOPR to improve the interconnection of large loads and hybrid facilities across the country.

Respectfully submitted,

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CERTIFICATE OF SERVICE

The undersigned certifies that a copy of this pleading has been served this day upon each person designated on the official service list compiled by the Secretary in this proceeding.

Dated at Boston, MA this 21st day of November 2025.

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